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Fed's Inflation Gauge Signals CRE's Cost of Capital Is Not Coming Down

A hotter PCE reading reinforces rate-hike expectations, keeping debt costs elevated and refinancing windows narrow for 2026 maturities.

THE NEWS

PCE Inflation Came in Hotter Than Expected

The Fed’s preferred inflation gauge rose 0.4% month-over-month, above consensus.

This keeps the Fed on a hawkish path. Rate cuts are off the table for now.

For CRE, that means the cost of capital stays where it is - elevated.

SIGNIFICANCE

This Is Not a Blip - It's a Regime Signal

One hot reading can be noise. But this follows months of sticky inflation data.

The market is now pricing in a higher-for-longer rate environment.

For capital markets professionals, the message is clear: don’t bet on a near-term pivot.

CAPITAL MARKETS ANGLE

Debt Costs Are Locked In - Refinancing Just Got Harder

SOFR remains above 5.25%. Spreads aren't compressing.

All-in floating rates for CRE loans are in the 7-8% range.

Fixed-rate options are pricing off elevated swaps. The math on refinancing a 2020-2021 loan just got worse.

THE REAL QUESTION

Can Current Cash Flow Support Today's Cost of Capital?

Many deals underwritten at 4-5% interest rates now face 7-8% debt costs.

For value-add and transitional assets, NOI hasn’t grown fast enough to bridge the gap.

Sponsors are choosing between injecting equity, selling at a discount, or restructuring.

WHO CARES?

Three Parties Are Watching This Closely

Sponsors: Deciding whether to fund shortfalls or hand back keys.

Lenders: Managing watch lists and preparing for modifications or REO.

Buyers: Waiting for price discovery - but also facing expensive acquisition financing.

MARKET CONTEXT

This Is Part of a Broader Capital Reset

We’re not in a crisis - we’re in a repricing.

Debt markets are forcing discipline that wasn’t needed in the zero-rate era.

Assets that pencil at 7% debt costs will trade. Those that don’t will sit.

FORWARD LENS

Watch the Next PCE Print and the September SEP

If inflation stays sticky, the Fed may signal one more hike.

That would push SOFR even higher and delay any relief.

What we’re watching: loan maturities in Q4 2026 - that’s where the pressure will show.

THE LESSON

Plan for Higher-for-Longer - Not a Return to Normal

The cost of capital is not coming down soon.

That means every refinancing, acquisition, and capital plan should be stress-tested at current rates.

Light Tower Group helps sponsors and lenders navigate these decisions. Connect with Benjamin Rohr for capital strategy and placement.